

DIGITALAIKART

THE GOVERNMENT FUNDING HANDBOOK

India 2026-27 Edition

Every government loan, subsidy and guarantee your business can get —
PMEGP, MUDRA, Stand-Up India, PM Vishwakarma, PM SVANidhi, PMFME,
CGTMSE and Startup India, decoded step by step from official sources

8

SCHEMES DECODED

every rule from official portals

7

REJECTION TRAPS

with the fix for each one

90

DAY ROADMAP

from idea to sanctioned loan

Digital Edition · Verified September 2026 · 40+ pages

Contents

Eighteen chapters. Read Chapter 2 first — it tells you which scheme fits you; then jump straight to that scheme's chapter. Everything else is there when you need it.

1	The money is real. The maze is real. This book ends the maze.	3
2	The 60-second scheme finder	4
3	Udyam registration: your free first step	5
4	PMEGP: the subsidy that pays 15-35% of your project	6
5	MUDRA (PMMY): collateral-free credit up to Rs. 20 lakh	9
6	PM Vishwakarma: Rs. 15,000 in tools and a 5% loan	10
7	Stand-Up India: Rs. 10 lakh to Rs. 1 crore for SC, ST and women	12
8	PM SVANidhi: street vendors' working capital	13
9	PMFME: 35% subsidy for food businesses	14
10	CGTMSE: why a bank will lend without collateral	15
11	The startup route: DPIIT, Seed Fund and beyond	16
12	What changed in 2026: RBI's Rs. 20 lakh rule and Budget 2026-27	17
13	The seven rejection traps — and the fix for each	18
14	The project report that gets sanctioned	19
15	Loan math to do before you sign anything	20
16	Getting bankable: the basics that decide your file	21
17	When things go wrong: grievances, delays and defaults	23
18	Scam protection: when 'help' costs money	24
19	Your 90-day roadmap	25
20	Glossary: the twenty-four terms bankers use	27
21	Frequently asked questions	28
22	Appendix: every official portal in one place	29
23	Sources and verification	29

CHAPTER 1

The money is real. The maze is real. This book ends the maze.

India runs 7.47 crore micro, small and medium enterprises. They employ 32.82 crore people, produce 35.4% of the country's manufacturing output and drive 48.58% of its exports. Every one of those businesses needed money to start, and most of them were told 'no' by a bank at least once before someone showed them the right door.

The right doors exist, and there are more of them than most people know. The government runs at least eight different programmes that put money behind small businesses: outright subsidies that pay 15-35% of your project cost, collateral-free loans up to Rs. 20 lakh, guarantees that make banks lend without security, and grants up to Rs. 20 lakh for startups. In 2025-26 alone, the credit guarantee trust CGTMSE approved 29.03 lakh guarantees worth Rs. 3.77 lakh crore between January and November — that is the scale of money moving through these doors every year.

7.47 crore	Rs. 3.77 lakh crore	45-65%	8
MSMEs in India	guarantees approved by CGTMSE in Jan-Nov 2025 alone	share of PMEGP applications banks reject	major schemes covered in this handbook

So why do so many people still struggle? Three reasons.

- The information is scattered. One scheme lives on the KVIC portal, another on a bank website, a third on a Ministry page. Nobody has put them side by side in plain language.
- Applications get rejected. Bank data shows that 45-65% of applications under the PMEGP scheme — the flagship subsidy programme — get rejected, mostly for avoidable reasons: missing documents, weak project reports, poor credit scores, simple mistakes.
- Scammers fill the gap. The Ministry of MSME has had to issue public warnings because fake 'agents' charge entrepreneurs money for applying to schemes that are completely free.

This handbook fixes all three. Every fact in it comes from an official source — the Ministry of MSME, RBI notifications, KVIC and CGTMSE documents, PIB press releases and the scheme portals themselves — checked in September 2026. Where a rule changed recently (and in 2026 several did — RBI doubled the collateral-free limit in April, the Union Budget added a Rs. 10,000 crore SME Growth Fund in February), this book carries the new rule, not the old one that most blog posts still repeat.

How to use this book: skim Chapter 2 to find your scheme, read that scheme's chapter carefully, then read Chapters 13-14 (rejection traps and the project report) before you apply — they are the difference between a sanction letter and a rejection.

CHAPTER 2

The 60-second scheme finder

Answer two questions — who are you, and how much money do you need — and the tables below point you to your chapter. Most people qualify for more than one scheme; you can apply the tests to each one in turn.

First: are you starting a business or already running one?

Your situation	Your primary scheme	Chapter
Starting a new micro enterprise (up to Rs. 50 lakh project)	PMEGP — 15-35% subsidy	4
Starting small, need under Rs. 20 lakh working credit	MUDRA (PMMY)	5
You are an artisan or craftsman (18 listed trades)	PM Vishwakarma	6
You are SC, ST or a woman, project of Rs. 10 lakh to Rs. 1 crore	Stand-Up India	7
You sell on the street (urban vendor)	PM SVANidhi	8
You process or package food	PMFME — 35% subsidy	9
You are building a tech startup	DPIIT + Seed Fund	11
Already running a unit, need expansion credit	MUDRA Tarun Plus or PMEGP 2nd loan	5, 4

Second: how much money, and what do you get for it?

Money you need	Scheme	What you actually get
Under Rs. 50,000	MUDRA Shishu / PM SVANidhi 1	Collateral-free loan, no processing fee at most banks
Rs. 50,001 - 5 lakh	MUDRA Kishor	Collateral-free loan, bank sets the rate
Rs. 5 - 10 lakh	MUDRA Tarun / PMEGP	Loan, plus PMEGP adds 15-35% subsidy
Rs. 10 - 20 lakh	MUDRA Tarun Plus	Repeat borrowers who repaid a Tarun loan
Up to Rs. 50 lakh (manufacturing)	PMEGP	Loan plus margin-money subsidy of 15-35%
Up to Rs. 3 lakh at 5% interest	PM Vishwakarma	Artisans only; plus tools and training
Rs. 10 lakh - 1 crore	Stand-Up India	Composite loan, SC/ST/women, greenfield
Rs. 20 lakh grant (startups)	Startup India Seed Fund	Grant for proof of concept, no repayment

When two schemes seem to fit, the order matters. PMEGP and PMFME both pay subsidies on project cost, but PMEGP is only for new units while PMFME happily funds upgrades — so an existing food business goes to PMFME, not PMEGP. PMEGP explicitly bars anyone who has already drawn a government subsidy, but existing PMEGP and MUDRA units get their own second-loan route for expansion. And nothing stops an artisan from taking Vishwakarma's Rs. 3 lakh at 5% first and graduating to bigger credit once it is repaid — the schemes are designed as ladders, not rival doors.

The same eight schemes, side by side:

Scheme	Who it is for	What you get	Where to apply
PMEGP	New micro enterprises, non-farm	15-35% subsidy plus bank loan	kviconline.gov.in
MUDRA (PMMY)	Any non-farm micro business	Collateral-free loan up to Rs. 20 lakh	Any bank or udyamimitra.in
PM Vishwakarma	Artisans in 18 trades	Tools, training, Rs. 3 lakh at 5%	CSC or pmvishwakarma.gov.in
Stand-Up India	SC, ST and women entrepreneurs	Rs. 10 lakh - 1 crore composite loan	standupmitra.in or banks
PM SVANidhi	Urban street vendors	Rs. 15k / 25k / 50k tranches with 7% interest subsidy	pmsvanidhi.mohua.gov.in
PMFME	Micro food processing units	35% subsidy up to Rs. 10 lakh	pmfme.mofpi.gov.in
CGTMSE	Behind every collateral-free MSE loan	Guarantee of 75-85% to the bank (not to you)	Through your bank
Startup India Seed Fund	DPIIT-recognised tech startups under 2 years	Up to Rs. 20 lakh grant + Rs. 50 lakh convertible	seedfund.startupindia.gov.in

Two rules apply to almost every scheme in this book: (1) everything is free to apply for — anyone who charges you a fee to 'get you a government loan' is a scammer; (2) register your business on Udyam first (Chapter 3) — several schemes now refuse applications without it.

CHAPTER 3

Udyam registration: your free first step

Udyam is the government's MSME registration portal, and it is the single highest-value 20 minutes you will spend. Registration is free, self-declared, paperless and needs only your Aadhaar and PAN. There is no fee, no renewal, and it never expires.

Why bother? Because the certificate it issues is the key that unlocks everything else: banks treat Udyam-registered units as priority-sector lending, several schemes require the registration before they release money, and delayed-payment protection under the MSMED Act kicks in from the date of registration. RBI's master directions make banks accept the Udyam certificate as proof of MSME classification for lending.

How the government classifies you (revised limits, notified March 2025):

Class	Investment in plant, machinery, equipment	Annual turnover
Micro	Up to Rs. 2.5 crore	Up to Rs. 10 crore
Small	Up to Rs. 25 crore	Up to Rs. 100 crore
Medium	Up to Rs. 125 crore	Up to Rs. 500 crore

Registering, step by step:

- 1 Go to udyamregistration.gov.in. There is exactly one official portal; everything else is a paid copycat site.

- 2 Enter your Aadhaar number and the OTP. For proprietorships, the Aadhaar must be the owner's; for companies, the PAN and a authorised-signatory Aadhaar are used.
 - 3 Fill in your PAN, business name, bank details, and pick your activity's NIC code (the portal helps you search it).
 - 4 Declare your investment and turnover — self-declared, no documents uploaded.
 - 5 Download the certificate instantly. It carries a permanent registration number. Done.
- Retail and wholesale trade can register on Udyam (they get lending benefits, though some scheme subsidies exclude trading).
 - If you are too informal for Udyam — no PAN-based enterprise yet — the Udyam Assist Portal (UAP) issues a certificate for informal micro enterprises that banks treat at par for lending, and CGTMSE gives it 85% guarantee coverage on loans up to Rs. 20 lakh.
 - PMEGP requires Udyam registration before physical verification of your unit and release of subsidy. Do it early, not at the end.

Five myths about Udyam

- 'It costs money.' It does not. The registration and every correction on the official portal are free.
- 'I need a shop or company first.' You need a PAN, an Aadhaar and a business intent; many register as proprietors from their home address.
- 'I must renew it.' Udyam is permanent. What changes is your self-declared turnover and investment, which you update yourself.
- 'It exposes me to taxes and inspections.' GST registration is a separate decision with its own thresholds; Udyam by itself is only a registration.
- 'My turnover is too small.' There is no minimum. The smallest vendor qualifies as a micro enterprise — that is who the category exists for.

Scam alert: agents still charge Rs. 500-2,000 to 'do your Udyam registration'. The portal asks for two numbers and two declarations. Nobody can do it faster than you can.

CHAPTER 4

PMEGP: the subsidy that pays 15-35% of your project

The Prime Minister's Employment Generation Programme is the most generous scheme open to the average person: the government pays a subsidy of 15-35% of your project cost, you contribute 5-10%, and a bank lends the rest. It is meant for first-generation entrepreneurs setting up new micro enterprises in the non-farm sector.

The numbers for new units:

Category	Own contribution	Subsidy (urban)	Subsidy (rural)
General category	10% of project cost	15%	25%

Category	Own contribution	Subsidy (urban)	Subsidy (rural)
Special category (SC, ST, OBC, minorities, women, ex-servicemen, transgender, differently abled, NER, aspirational districts, hill and border areas)	5% of project cost	25%	35%

- Maximum project cost: Rs. 50 lakh in manufacturing, Rs. 20 lakh in business or services.
- Age 18 and above. No income ceiling.
- For projects above Rs. 10 lakh (manufacturing) or Rs. 5 lakh (business/service), you must have passed at least Class 8.
- Only new projects. If you or your existing unit has already taken a government subsidy under any other central or state scheme, you are out — this trap alone kills roughly one in ten applications (see Chapter 13).
- Self-help groups, societies and production cooperatives can also apply.

Existing PMEGP or MUDRA units can apply for a second, upgradation loan: up to Rs. 1 crore (manufacturing) or Rs. 25 lakh (business/service), at a 15% subsidy — 20% in the North East and hill states — if the first loan was fully repaid on time and the unit has made profits for three years.

Where the money actually comes from — and goes

The subsidy (called 'margin money') is not handed to you in cash. KVIC routes it to the bank, which parks it in a ledger account for three years while you repay the loan; it is adjusted into your loan account after the unit is physically verified and has run successfully. Understand this before you believe anyone promising 'free cash'.

The application, step by step

- 1 Apply on the PMEGP e-portal at kviconline.gov.in — the only official route. The process is free. Offline forms in regional languages also exist for those who need them.
- 2 Choose your implementing agency (KVIC, a state KVIB, the District Industries Centre, or COIR) and your preferred banks in order of preference.
- 3 Fill the form with your project details. The nodal officer must acknowledge your application within five working days and help correct it — the guidelines require handholding, not silent rejection.
- 4 The agency scores and forwards complete applications to a bank, in no case later than three weeks.
- 5 The bank appraises the project and must sanction or reject within about 30 days of receiving it from the district agency.
- 6 Complete the mandatory EDP (Entrepreneurship Development Programme) training — free online at udyami.org.in, 15 days, with a certificate. The bank cannot release the loan before this.
- 7 Register on Udyam before physical verification.
- 8 Loan is disbursed; the margin money is adjusted later, after the unit is verified and running.

What the subsidy means in rupees: two worked examples

Special category, rural, Rs. 20 lakh service project: you contribute 5% (Rs. 1,00,000), the margin-money subsidy covers 35% (Rs. 7,00,000), and the bank finances the remaining Rs. 12,00,000 — which, at 11% over five years, is an EMI near Rs. 26,100. The subsidy is not cash in your pocket; it is adjusted into the loan account after three years if the unit has run as verified, which is why your real obligation is the bank's Rs. 12 lakh portion.

General category, urban, Rs. 50 lakh manufacturing project: you contribute 10% (Rs. 5,00,000), the subsidy covers 15% (Rs. 7,50,000), and the bank finances Rs. 37,50,000. The bigger the special-category claim (rural location, woman or reserved category certificate, NER or aspirational district), the smaller both your contribution and your loan — the same project can cost two very different borrowers two very different amounts.

What the bank's appraisal actually checks

- Per-capita investment: PMEGP caps investment per job created (roughly Rs. 1 lakh in plain areas, Rs. 1.5 lakh in hilly areas) — labour-light projects must watch this.
- The activity itself: the negative list bars certain trades; your nodal officer confirms eligibility before forwarding, which is one reason to take their five-day call.
- Your skin in the game: the own contribution must exist and be traceable.
- Technical and economic viability: the machinery quotations, the market, and the repayment math — Chapter 14 again.
- Your credit record and, informally, your grip on the trade in the personal discussion.

The clock, stage by stage

Stage	The guideline's clock
Nodal officer acknowledges and interacts with you	5 working days from application
Agency forwards your application to the bank	As soon as possible, no later than 3 weeks
Bank sanctions or rejects	About 30 days from receiving the application
EDP training completes (online, free)	15 days, before loan release
Unit verification and margin-money adjustment	After the unit starts running, typically in the third year

RBI's February 2026 amendment directions tell banks not to insist on collateral for PMEGP loans up to Rs. 20 lakh (earlier Rs. 10 lakh), effective 1 April 2026. If a bank demands security for a smaller PMEGP loan, that is your citation.

CHAPTER 5

MUDRA (PMMY): collateral-free credit up to Rs. 20 lakh

The Pradhan Mantri MUDRA Yojana is the workhorse of small-business lending: over 47 crore loans have been sanctioned since 2015. It is not a subsidy — it is a normal bank loan with the government standing behind it so the bank cannot demand collateral.

Category	Loan amount	Typical borrower
Shishu	Up to Rs. 50,000	Just starting: a cart, a sewing machine, a stall
Kishor	Rs. 50,001 - 5 lakh	Growing: more stock, better tools, a small workshop
Tarun	Rs. 5,00,001 - 10 lakh	Established, expanding
Tarun Plus	Rs. 10,00,001 - 20 lakh	Only for borrowers who fully repaid a Tarun loan

- No collateral, no third-party guarantee — loans are backed by the Credit Guarantee Fund for Micro Units (CGFMU) up to Rs. 20 lakh.
- Any non-farm income-generating activity qualifies: manufacturing, trading, services.
- Any scheduled commercial bank, regional rural bank, small finance bank, NBFC or MFI can lend; you can also apply through the udyamimitra.in portal.
- Interest is set by the bank — the government does not subsidise it. Public-sector banks were quoting roughly 9-12% through 2026; always confirm the exact rate, the processing fee and whether it is fixed or floating before signing.
- Ask for a MUDRA Card if you need working capital: a revolving facility where you pay interest only on what you have drawn.

What a MUDRA loan actually costs

A loan is a promise of future cash outflow, not free money. At 11% over five years, every Rs. 1 lakh borrowed costs about Rs. 2,174 a month and Rs. 30,468 in total interest. Use this table before you decide the amount (EMIs at 11% for 60 months):

Loan	Monthly EMI	Total interest over 5 years
Rs. 50,000	Rs. 1,087	Rs. 15,221
Rs. 1 lakh	Rs. 2,174	Rs. 30,415
Rs. 2 lakh	Rs. 4,349	Rs. 60,910
Rs. 5 lakh	Rs. 10,871	Rs. 1,52,285
Rs. 10 lakh	Rs. 21,742	Rs. 3,04,570
Rs. 20 lakh	Rs. 43,485	Rs. 6,09,139

The test before you borrow: can the business reliably generate the EMI every month after paying all its costs, with room for a bad month? If a Rs. 10,871 EMI needs the business to earn Rs. 15,000 extra every single month, and you cannot show how, the bank will reach the same conclusion — in Chapter 13 you will see 'project not viable' in their top rejection reasons.

Documents to keep ready

- Aadhaar and PAN, photographs, and proof of business address (rent agreement, bill).
- A short business plan — for Shishu, a paragraph; for Kishor and Tarun, a proper project report (Chapter 14 gives you the structure).
- For Kishor and Tarun: six months of bank statements, and income-tax returns for one to two years if you have them.
- Quotations for what you will buy with the loan — banks like to see the money tied to named equipment.

Five mistakes that sink MUDRA applications

- Asking for the maximum instead of the needed. A first-time borrower asking for the full Tarun limit with no business history invites a 'not viable' stamp; the Shishu-to-Tarun ladder exists for a reason.
- No separate business account. If your personal UPI transactions and the shop's are one statement, the bank cannot see cash flow and assumes the worst.
- Buying the asset before the sanction. Purchases made before approval are not financed retroactively.
- Ignoring the processing fee and insurance questions — small, but they decide the effective cost of the loan you compare offers on.
- Applying to three banks at once. Each application shows in the next bank's credit check and reads as desperation; one clean, well-prepared application at the bank where you already have history works better.

CHAPTER 6

PM Vishwakarma: Rs. 15,000 in tools and a 5% loan

If you work with your hands — as a carpenter, tailor, potter, blacksmith, barber, cobbler — PM Vishwakarma is the most generous package in this book. Launched on 17 September 2023, it wraps recognition, training, tools, cheap credit and marketing support into one scheme for artisans in 18 traditional trades.

The 18 trades: carpenter (Suthar/Badhai), boat maker, armourer, blacksmith (Lohar), hammer and tool kit maker, locksmith, goldsmith (Sonar), potter (Kumhaar), sculptor/stone worker, cobbler/footwear artisan, mason (Rajmistri), basket/mat/broom maker and coir weaver, traditional doll and toy maker, barber (Naai), garland maker (Malakaar), washerman (Dhobi), tailor (Darzi), and fishing net maker.

What you get, in order

- 1 Recognition: a PM Vishwakarma certificate and ID card after three levels of verification.
- 2 Basic skill training of 5-7 days (advanced training of 15 days or more optional), with a stipend of Rs. 500 per day.

- 3 A toolkit incentive of up to Rs. 15,000 as an e-voucher, issued at the start of basic training, to buy modern tools for your trade.
- 4 Collateral-free Enterprise Development Loans up to Rs. 3 lakh in two tranches — the first up to Rs. 1 lakh repayable over 18 months, the second up to Rs. 2 lakh over 30 months — at a concessional 5% interest rate (the government subvention covers 8 points of the bank's rate). The second tranche needs the first repaid, a clean account, and either digital transactions or advanced training.
- 5 Incentives for digital transactions, and marketing support through trade fairs, exhibitions and e-commerce onboarding.

The eligibility rules that trip people up

- One member per family — defined as husband, wife and unmarried children — can enrol. Second applications from the same family are refused.
- No loan under any similar credit-based government scheme for self-employment in the past five years.
- Nobody in the family should be in government service.
- You must be working in the unorganised sector with your own hands and tools, and be 18 or older.

How to register

- 1 Walk into your nearest Common Service Centre (CSC) with your Aadhaar, bank details and trade information, or enrol through the official portal, pmvishwakarma.gov.in.
- 2 Enrolment feeds three levels of verification — the portal checks your documents, the district committee confirms you are a genuine working artisan, and the bank verifies the loan portion.
- 3 Once verified, you receive the certificate and ID, and are scheduled into the nearest training centre for basic training. Attend it — the toolkit e-voucher is issued at the start of training, and the first loan tranche requires training completed.
- 4 Complete the training, receive the toolkit voucher, apply for the first Rs. 1 lakh tranche through the empanelled bank. Repay it cleanly to unlock the Rs. 2 lakh second tranche.
- 5 Onboard to Udyam Assist through the scheme so your enterprise is visible to banks for priority-sector lending once you outgrow Rs. 3 lakh.

The scheme is live at scale: by July 2026, 24.29 lakh artisans had completed basic training and more than 23 lakh e-vouchers for toolkits had been issued, with a 2026-27 Budget allocation of Rs. 3,861 crore. Registration runs through your nearest Common Service Centre (CSC) or the official portal, pmvishwakarma.gov.in.

CHAPTER 7

Stand-Up India: Rs. 10 lakh to Rs. 1 crore for SC, ST and women

Stand-Up India exists to fund first-time ventures by Scheduled Caste, Scheduled Tribe and women entrepreneurs with loans too big for MUDRA: composite loans between Rs. 10 lakh and Rs. 1 crore from a scheduled commercial bank.

- You must be 18 or older, and the business must be greenfield — a first-time venture of the beneficiary in manufacturing, services, trading, or activities allied to agriculture (dairy, poultry, fisheries, beekeeping, food processing and similar; plain crop loans do not qualify).
- In a company or LLP, at least 51% of the shareholding and controlling stake must sit with the SC, ST or woman entrepreneur.
- The loan is composite — term loan plus working capital in one sanction.
- Repayment runs up to seven years including a maximum moratorium of 18 months while the unit gets built and starts earning.
- Margin: up to 15% of project cost, and the mandatory minimum 10% applies even if a state subsidy covers the rest.
- Banks are tasked with supporting at least one SC/ST borrower and one woman borrower per branch — ask for the branch's nodal officer; the scheme is a target for them, and they lose points for not lending under it.

How to apply

- 1 Register on the Stand-Up India portal (standupmitra.in) or walk into any scheduled commercial bank branch. The portal also offers handholding — it can connect you to help for preparing the project plan, training, and margin money support.
- 2 Prepare your project report (Chapter 14) — at this loan size, it decides everything.
- 3 The bank appraises like any large loan: your skin in the game, the cash-flow math, your experience in the trade, and your credit record. A clean CIBIL is effectively mandatory; defaulters are excluded outright.
- 4 Sanction terms are negotiated: rate, moratorium, disbursement schedule. Use the moratorium deliberately — interest still accrues while it runs.

What a Rs. 25 lakh Stand-Up India project looks like on paper

Illustratively: a woman entrepreneur setting up a garment unit. Own contribution 15% (Rs. 3.75 lakh), composite loan Rs. 21.25 lakh — term component for 12 machines and fit-outs, working-capital component for fabric and wages. Moratorium of 12 months while the unit is fitted out and the first orders execute, then a six-year repayment. The DPR shows 60% capacity utilisation in year one, DSCR of 1.6, and a break-even in month eight. That is the shape of a file a branch manager defends internally.

Successor to watch: the 2025-26 Budget announced a new scheme for five lakh first-time women, SC and ST entrepreneurs with term loans up to Rs. 2 crore over five years, built on Stand-Up India's lessons, with online capacity-building. When its operational guidelines are notified, it will sit above this scheme — check the DFS site (financialservices.gov.in) before applying if you are in these categories.

CHAPTER 8

PM SVANidhi: street vendors' working capital

If you vend on a street or footpath — thela, rehri, or a fixed spot — PM SVANidhi is built for you. It gives collateral-free working-capital loans in three rising tranches, rewards you for digital payments, and its lending window now runs till March 2030.

Tranche	Amount	Repayment period
First	Up to Rs. 15,000	12 months
Second (after repaying the first)	Up to Rs. 25,000	18 months
Third (after repaying the second)	Up to Rs. 50,000	36 months

- A 7% per-annum interest subsidy is credited to your bank account quarterly while the loan stays standard — available up to 31 March 2033.
- No penalty for prepayment; repay early and you unlock the next, bigger tranche.
- Monthly cashback of Rs. 50-100 for digital transactions (UPI, QR payments).
- After you repay the second tranche, you become eligible for a UPI-linked RuPay credit card — starting limit Rs. 10,000, rising gradually to Rs. 30,000, valid five years.
- Banks, NBFCs, MFIs and cooperative banks all lend under the scheme; apply with your certificate of vending issued by your urban local body.

How to apply, and why the first Rs. 15,000 matters most

- 1 Get your certificate of vending or survey identification from your urban local body — or apply through it; the portal links the ULB and the lender.
- 2 Apply on pmsvanidhi.mohua.gov.in or through a CSC, bank branch, or MFI partner; you need Aadhaar and a bank account linked to it.
- 3 Choose your lender; take the first tranche even if Rs. 15,000 feels small.
- 4 Repay through the year while taking UPI payments — the digital cashback and the interest subsidy both pay you for exactly the habits that build a credit history.
- 5 On repayment, the second tranche unlocks automatically in eligibility; after the second, the RuPay credit card and the third tranche follow the same way.

The first tranche is small by design: it is the cheapest possible way to put a repaid loan on your credit report, which is what the bigger loans — SVANidhi's own third tranche, a MUDRA Kishor loan, eventually a PMEGP unit — will look for.

Eligibility: you must have been vending on or before 24 March 2020 in an urban area, including peri-urban surroundings, and hold a certificate of vending or a survey identification from your municipal body. The restructured scheme (approved with a total outlay of Rs. 7,332 crore) targets 1.15 crore beneficiaries, including 50 lakh new vendors, and is being extended beyond statutory towns to census towns and peri-urban areas in phases. The application and tracking live on pmsvanidhi.mohua.gov.in.

CHAPTER 9

PMFME: 35% subsidy for food businesses

The PM Formalisation of Micro Food Processing Enterprises scheme pays a 35% credit-linked capital subsidy — capped at Rs. 10 lakh — to micro food processing units. If you make, package or process anything edible at small scale (pickles, papad, spices, honey, bakery, dairy, grain milling), this is your chapter.

- The subsidy is 35% of eligible project cost, maximum Rs. 10 lakh per unit. You put in at least 10%, and the balance comes as a bank loan.
- Both new units and existing units upgrading or expanding are eligible — unlike PMEGP, which is only for new projects.
- Eligible applicants include individuals, proprietorships, partnerships, startups, farmer producer organisations (FPOs), cooperatives, SHGs and private companies.
- Groups (FPOs, SHGs, cooperatives, government agencies) can get 35% credit-linked grant up to Rs. 3 crore for common infrastructure — cold storage, packaging centres, processing units that other units and the public can hire.
- SHG members can also get seed capital of Rs. 40,000 per member for working capital and small tools.

The scheme follows an ODOP (One District One Product) approach — each district has a notified product that gets priority — but beneficiaries working on non-ODOP products are eligible too. The scheme runs with a Rs. 10,000 crore outlay shared 60:40 between centre and states (90:10 for North-Eastern and Himalayan states), and by 31 October 2025 had sanctioned subsidy-linked loans to 1,61,072 micro enterprises, 1,363 SHGs and 236 FPOs. A micro enterprise here means investment up to Rs. 2.5 crore and turnover up to Rs. 10 crore — the March 2025 revised definition.

What the numbers look like

Illustratively, a pickle unit with a Rs. 10 lakh project: the subsidy covers 35% (Rs. 3.5 lakh), the promoter puts in 10% (Rs. 1 lakh), and the bank lends Rs. 5.5 lakh against machinery and initial working capital. Because the subsidy sits in the bank's transient account for three years while the loan runs, the unit's monthly EMI burden is carried by the Rs. 5.5 lakh portion — about Rs. 12,000 at 11% over five years — while the machinery is already in place from day one.

Apply on the official portal, pmfme.mofpi.gov.in, with your bank, DPR and required clearances (an FSSAI registration is the usual prerequisite for food units). The subsidy is transferred to the lending bank's transient account after at least 35% of the project cost is disbursed, and is held there for three years against the account remaining standard.

CHAPTER 10

CGTMSE: why a bank will lend without collateral

CGTMSE — the Credit Guarantee Fund Trust for Micro and Small Enterprises — is the reason the words 'collateral-free' appear all over this book. It is not a loan scheme; it is the insurance policy behind your loan. When a bank lends to a micro or small enterprise without collateral, CGTMSE guarantees 75-85% of the default, so the bank's risk shrinks to a sliver.

You never apply to CGTMSE and never pay it directly — the lending institution does. But knowing the numbers changes your conversation with the bank: when a branch hesitates over security, the guarantee is your answer.

Borrower	Guarantee coverage
Micro enterprises, loans up to Rs. 5 lakh	85%
Micro enterprises, Rs. 5-50 lakh	75%
Women, SC/ST, persons with disability, Agniveer-promoted, NER, Jammu and Kashmir, Ladakh, aspirational districts, ZED-certified	80-85%
Registered credit-deficient districts (RBI list)	+5% over applicable rate
Informal micro enterprises with a Udyam Assist certificate, loans up to Rs. 20 lakh	85%

The annual guarantee fee the lender pays (standard rate, from April 2025) — you should know it because it explains which loans banks are happiest to make:

Loan slab	Annual fee (standard rate)
Up to Rs. 10 lakh	0.37%
Rs. 10-50 lakh	0.55%
Rs. 50 lakh - 1 crore	0.60%
Rs. 1-2 crore	0.85%
Rs. 2-5 crore	1.00%
Rs. 5-8 crore	1.10%
Rs. 8-10 crore	1.20%

- The guarantee ceiling was raised from Rs. 5 crore to Rs. 10 crore per borrower in the 2025-26 Budget; the trust marked 25 years in 2025 and crossed one crore cumulative guarantees, approving 29.03 lakh guarantees worth Rs. 3.77 lakh crore in January-November 2025 alone.
- The annual guarantee fee is paid by the lender, from 0.37% a year for loans up to Rs. 10 lakh — one reason tiny loans are cheap for banks to make.
- CGTMSE's 'Hybrid Security' product lets the bank take partial collateral and guarantee the rest — useful for loans just above the collateral-free limit.
- Budget 2026-27 extended CGTMSE-backed guarantees to invoice discounting on the TReDS platform, so your unpaid invoices to large buyers can also be financed against the guarantee.

Read this together with Chapter 12: since 1 April 2026, RBI mandates collateral-free lending up to Rs. 20 lakh for all micro and small enterprises — the guarantee scheme and the mandate together mean no branch can demand your house for a Rs. 15 lakh loan.

CHAPTER 11

The startup route: DPIIT, Seed Fund and beyond

If your business is a technology startup rather than a traditional enterprise, a different door opens: DPIIT recognition first, then the Startup India Seed Fund Scheme (SISFS), which can put up to Rs. 20 lakh into your company as a grant — money you do not repay.

Step 1: DPIIT recognition

Recognition is free on startupindia.gov.in and needs: a private limited company, LLP or registered partnership; incorporation within the last ten years; turnover under Rs. 100 crore; and a genuinely new product, process or service — improvement on an existing idea, not a copy. Recognition unlocks tax benefits, self-certification under labour and environmental laws, faster patent filing, and eligibility for the seed fund.

Step 2: The Seed Fund (SISFS)

- Up to Rs. 20 lakh as a grant for proof of concept, prototype development or product trials, released in milestone-linked instalments.
- Up to Rs. 50 lakh as investment for market entry and commercialisation, through convertible debentures, debt or debt-linked instruments — at interest no higher than the prevailing repo rate, tenure up to five years, with up to a 12-month moratorium, unsecured and without personal guarantee.
- Your startup must be DPIIT-recognised and incorporated not more than two years before applying, with at least 51% Indian promoter shareholding, and must not have received over Rs. 10 lakh of monetary support from other government schemes.
- You can apply to three incubators simultaneously, in order of preference, irrespective of their location — the fund's Rs. 945 crore corpus works through incubators, not directly through government offices.
- It works: by 30 June 2026, incubators had selected 4,245 startups with approved funding of Rs. 706.33 crore.

What recognition itself unlocks

- Income-tax holiday for eligible startups — 100% of profits for three consecutive years out of the first ten, on approval.
- Self-certification under six labour laws and three environmental laws, with no inspection for the first year.
- An 80% rebate on patent fees and fast-tracked examination; a rebate on trademark fees.
- Relaxation in public procurement — no prior turnover or experience criteria in many government tenders.

- Access to the Fund of Funds and seed schemes described below.

Beyond the seed

Once you have traction, two larger pools sit above the seed fund: the Fund of Funds for startups (a Rs. 10,000 crore mother-fund SIDBI invests through daughter funds, which then invest in startups — access it by pitching to the empanelled daughter funds), and the Self-Reliant India (SRI) Fund, which supports micro and small enterprises with risk capital through a similar fund-of-funds structure and received a Rs. 2,000 crore top-up in the 2026-27 Budget. Since 2025-26, startups also get a higher CGTMSE guarantee ceiling of Rs. 20 crore on their bank loans, at a reduced 1% fee in 27 priority sectors.

CHAPTER 12

What changed in 2026: RBI's Rs. 20 lakh rule and Budget 2026-27

Two things happened in 2026 that most blog articles have not caught up with. If you read an article telling you collateral-free loans stop at Rs. 10 lakh, it is out of date.

RBI doubled the collateral-free limit (effective 1 April 2026)

Through the Lending to MSME (Amendment) Directions, 2026, issued on 9 February 2026, RBI mandated that banks cannot accept collateral for loans up to Rs. 20 lakh to micro and small enterprises — doubled from the old Rs. 10 lakh. Banks are specifically advised to extend this to PMEGP units, may raise it to Rs. 25 lakh on their own policy for borrowers with good track record, and can still count voluntary gold or silver pledges within the limit. RBI also restored the composite-loan route: term loan and working capital together in a single sanction of up to Rs. 1 crore.

Union Budget 2026-27 (1 February 2026) — the MSME package

Measure	What it means for you
Rs. 10,000 crore SME Growth Fund	Equity support for high-potential small enterprises to scale into 'champions' — a shift from debt to equity support
Rs. 2,000 crore top-up to the Self-Reliant India Fund	More risk capital reaching micro enterprises through daughter funds (682 MSMEs had already received Rs. 15,442 crore by November 2025)
TReDS made the settlement platform for CPSE purchases	Faster cash for MSMEs that supply government companies — invoices become finance, not a wait
CGTMSE guarantee extended to TReDS invoice discounting	Even your unpaid invoices can be discounted under the guarantee
'Corporate Mitras' para-professionals (via ICAI, ICSI, ICAI)	Affordable compliance help in tier-2 and tier-3 towns, coming through accredited courses

What TReDS means for a ten-person workshop

If you supply parts to a large company, your money is usually stuck in the buyer's 60-90 day payment cycle. On TReDS — an RBI-regulated electronic platform — you upload the invoice your buyer has accepted, financiers bid to buy it at a small discount, and cash reaches you in days. The buyer pays the financier on the due date. Over Rs. 7 lakh crore has already moved this way; Budget 2026-27 makes CPSEs settle through it, brings the CGTMSE guarantee onto it, and links GeM — the government procurement portal — so that government orders can be financed the same way. For a small supplier, joining TReDS through one of the licensed platforms converts your sales into cash.

The 2026-27 Budget also carried forward the 2025-26 structural changes that still matter: MSME classification limits raised 2.5x on investment and 2x on turnover (so you can grow without falling off the benefits cliff), customised credit cards of Rs. 5 lakh for micro enterprises on Udyam, term loans up to Rs. 20 crore with enhanced guarantee cover for exporter MSMEs, and the new scheme announced for five lakh first-time women, SC and ST entrepreneurs with term loans up to Rs. 2 crore. Allocations for 2026-27 include Rs. 3,861 crore for PM Vishwakarma, Rs. 1,500 crore for RAMP and Rs. 1,900 crore for the MSME Fund of Funds.

CHAPTER 13

The seven rejection traps — and the fix for each

When the Parliamentary Standing Committee looked at PMEGP, it found banks rejecting close to half of all applications; KVIC's own dashboards show individual banks rejecting 55-65%. Here is the striking part: the reasons are public, ranked, and almost entirely avoidable. These are the top rejection reasons from the banks' own reports, with the fix for each.

- 1 Documents not submitted (about 13% of rejections). The bank asks for papers by a deadline; incomplete submissions are closed out. Fix: prepare the full kit before you apply — Aadhaar, PAN, Udyam certificate, bank statements, quotations, rent agreement, caste certificate if claiming the special-category subsidy, and your project report — and respond within days, not weeks.
- 2 CIBIL report not satisfactory (11-16%). The single most common reason at some banks. Fix: pull your free credit report before applying; clear small defaults and settle dues; if you have no history at all, a small Shishu loan repaid cleanly first builds a tradeline that makes the bigger loan possible.
- 3 Already an existing unit (about 10%). You cannot claim PMEGP for a unit that already exists or has drawn a government subsidy before. Fix: be honest about it; if you are upgrading an existing PMEGP/MUDRA unit, the second-loan route (Chapter 4) is the correct door.
- 4 Project not viable (about 10%). Your numbers do not show the loan being repaid. Fix: Chapter 14 — build the project report that proves cash flow, not one that describes dreams.
- 5 Inadequate knowledge of the proposed industry (about 10%). The applicant cannot answer basic questions about the trade they want money for. Fix: if you have not worked in the trade, partner with someone who has, or complete relevant training (RSETIs offer free entrepreneurship courses) and say so in the interview.

- 6 Improper application (about 6%). Mismatched details, wrong NIC code, activity on the negative list (for PMEGP, certain trades are barred). Fix: read the scheme's guidelines and negative list before filling the form; the nodal officer is required to help you correct it within five working days — call them.
- 7 Unable to deposit own contribution (about 1-2%, but growing). The 5-10% margin money must be your own, from a verifiable source. Fix: arrange it before applying — a sudden gift from a relative two days before sanction is exactly the kind of thing bankers are trained to question.

Read the pattern across all seven: none of the top reasons is 'the scheme had no money' or 'the bank dislikes small loans'. Every one of them is a document, a fact or a preparation gap sitting on the applicant's side of the table. The banks are not rejecting entrepreneurs; they are rejecting files. The file is fixable.

That also means timing matters less than preparation. An application sent in a hurry at the end of the month, with quotations missing and the CIBIL never checked, fails; the same business, four weeks later, with a bound project report and answers rehearsed, sanctions. Nothing about the business changed — the file did.

One more from the data: 'out of service area' — applying to a bank whose branch territory does not cover your project location. Choose a bank that operates where your unit will stand.

CHAPTER 14

The project report that gets sanctioned

At every loan size above Shishu, the project report (DPR) is the document the banker actually reads. A weak one produces the 'not viable' rejection; a strong one walks the banker through the money coming back. Here is the structure banks expect — build it in this order.

- 1 Promoter's profile: who you are, your experience in this trade, your education. Remember trap 5 — knowledge of the industry is scored.
- 2 The business: what you will make or sell, the location, why that location, the NIC code, and the legal form (proprietorship, partnership, company).
- 3 Market: who your customers are, the demand evidence around your location, named competitors, and your realistic monthly sales volume — built bottom-up (X customers x Y rupees), never top-down ('capturing 1% of a Rs. 500 crore market').
- 4 The project cost, in full: land or rent deposit, machinery with quotations from named suppliers, electricals, raw material for the first cycle, licences and clearances, and a contingency line. Every number should trace to a document.
- 5 Means of finance: your 5-10% contribution with its source, the term loan you are requesting, and any subsidy the scheme provides.
- 6 Working capital: the cash the business needs to run one full cycle before customers pay — this is where under-capitalised units die.
- 7 Revenue and cost projections for three years, monthly for year one. Show the EMI explicitly in the costs, and show the surplus after it.

- 8 Repayment analysis: the DSCR — divide the cash left after all expenses by the annual EMI. A DSCR of 1.5 or more (Rs. 1.50 available for every Rs. 1 due) is what makes a banker comfortable; below 1.2 and you have re-designed the project, not the loan.
- 9 Break-even: the sales level at which the business stops losing money, and the month you reach it.
- 10 Licences and clearances: what you will obtain and when — FSSAI for food, pollution board consent, municipal trade licence, GST registration, and Udyam (already done, Chapter 3).

A miniature DPR, so you can see the shape

Illustrative figures for a one-person food-processing unit; the structure is the lesson, not the numbers:

Project cost	Rs.	Means of finance	Rs.
Machinery (2 quotations attached)	3,20,000	Promoter's own 10%	62,000
Utensils, fittings, packaging	1,10,000	PMEGP subsidy (35% special, rural)	2,17,000
Licences, FSSAI, branding	25,000	Bank term loan	2,41,000
Initial raw material cycle	40,000		
Contingency 10%	49,000		
Total	5,44,000	Total	5,20,000

Year one, at 50% capacity: monthly sales of Rs. 1.5 lakh, costs of Rs. 1.12 lakh (materials, wages, power, rent, transport), leaving Rs. 38,000 — against which the EMI of roughly Rs. 5,250 (loan of Rs. 2.41 lakh at 11% over five years) gives a DSCR of about 7, comfortable enough that the 60% capacity scenario and one bad month still repay. Every number above traces to a quotation, a market visit or a written assumption. That traceability is what 'viable' means to the reader on the other side.

Length is not the point — 10-15 pages of verifiable numbers beats 50 pages of adjectives. If you are not comfortable building the financials yourself, the district industries centre, RSETI or a 'Corporate Mitra' para-professional (Chapter 12) can help; rates should be a small fixed fee, never a percentage of the loan.

CHAPTER 15

Loan math to do before you sign anything

Every scheme in this book ends in a loan except the SISFS grant and the subsidies. Before any bank takes your signature, run these three calculations yourself — they take ten minutes and a phone calculator.

1. The EMI reality check

The table in Chapter 5 gives EMIs at 11% over five years. Stretching the tenure lowers the EMI but raises total interest sharply: Rs. 50,000 at 11% costs about Rs. 8,896 in interest over three years but Rs. 15,221 over five. For a Rs. 2 lakh loan, going from three years to five raises total interest from roughly Rs. 39,220 to Rs. 67,000 — 70% more. Choose the shortest EMI your cash flow can carry, not the smallest EMI you can get.

2. The revenue needed

Work backwards. EMI of Rs. 10,872 (Rs. 5 lakh loan) needs the business to generate at least Rs. 18,000-20,000 of surplus a month after raw material, rent, wages, electricity and your own drawings — because months are uneven and one bad month must not become a default. If you cannot write down, in numbers, where that surplus comes from, the project is not ready for a loan, whatever the scheme allows.

3. The guarantee-versus-collateral check

Since April 2026, loans up to Rs. 20 lakh to micro and small enterprises must be collateral-free, and CGTMSE covers the bank's risk on top. If any branch asks for property papers for a loan within these limits, ask — politely, in writing — under which guideline. The RBI amendment directions of February 2026 are the citation. For loans above the limit, the hybrid guarantee (Chapter 10) can cover part of it without full collateral.

- Moratorium interest is not free interest — during an 18-month Stand-Up India moratorium the interest accrues and is usually added to the loan. Use the moratorium to build the unit, and confirm at sanction how the accrued interest is treated.
- Prepayment: most public-sector banks charge nothing on floating-rate loans; ask before you assume.
- Insurance: banks often add credit-life insurance to business loans; it is small, protects your family from the loan, and is worth keeping — but it should appear as a line item, not a surprise.

Interest rates in this chapter are illustrative at 11%; your bank's quoted rate may differ, and MUDRA and PMEGP rates are set by each bank, not by the government. Always get the sanction letter's rate, reset frequency, and all fees in writing before signing.

CHAPTER 16

Getting bankable: the basics that decide your file

Every scheme in this book ends with a banker on the other side of a table. Schemes change the rules — how much, at what rate, with what subsidy — but bankers read the same five signals from every applicant. Build these before you apply, and every chapter in this book gets easier.

Signal 1: a legal form the bank can lend to

Form	What it is	Pick it when
Proprietorship	You, trading under a business name; needs only PAN and a current account	You are starting alone — MUDRA, Vishwakarma and SVANidhi all work here
Partnership	Two or more of you under a registered deed, with a firm PAN	You have a co-founder and want simplicity without incorporation
LLP or Pvt Ltd	A company registered with the Ministry of Corporate Affairs, separate from its owners	Stand-Up India loans, startup funding, or any partner-based plan where limited liability matters

Banks lend to all three; lenders to proprietorships lean more on the individual. Do not rush to incorporate — a company adds annual compliance, and a one-person food business gains nothing from it. Match the form to the scheme you actually chose in Chapter 2.

Signal 2: a separate current account

One account for your personal UPI payments and another for the business. The business statement is the single document that shows the bank your real turnover — before that statement exists, every cash-flow question in your project report is an assertion. A separate account also keeps GST, income-tax and scheme-subsidy paperwork from tangling with your household.

Signal 3: your GST position, known in advance

- If you sell goods and cross Rs. 40 lakh turnover (Rs. 20 lakh for services; lower in special-category states), GST registration becomes mandatory.
- Below it, registration is optional — but many wholesalers, marketplaces and government buyers will not buy from an unregistered supplier, so registering early is sometimes a business decision, not a tax one.
- Small businesses can check the composition scheme — quarterly returns instead of monthly, at a flat low rate, for turnover under Rs. 1.5 crore.
- Confirm current thresholds on [gst.gov.in](https://www.gst.gov.in) before you plan; they change by notification.

Signal 4: the licences your activity needs

- Food businesses: FSSAI registration (or licence, as turnover grows) before the first sale.
- Manufacturing: consent-to-establish and consent-to-operate from the state pollution control board.
- Any premises: the municipal trade licence and, for shops with employees, registration under the shops and establishments Act of your state.
- PMEGP appraisers and PMFME verifiers check for exactly these before releasing money; the delays that kill files are usually licence delays, not loan delays.

Signal 5: books and credit hygiene

The one-page compliance calendar

- GST returns: monthly if you are a regular filer, quarterly under the QRMP scheme for smaller turnover, quarterly under composition.
- Income-tax return: by 31 July for individuals and proprietorships not needing an audit.
- Advance tax: 15 June, 15 September, 15 December and 15 March, if tax due after TDS exceeds the limits.
- Udyam: update your self-declared investment and turnover as it changes.
- TDS returns and challans, if you have employees — quarterly, through a practising accountant for the first year at least.

Keep one honest register — an app or a notebook where every sale and purchase lands daily, reconciled to the bank statement monthly. That is what your chartered accountant will ask for at income-tax time, what the bank will ask for at loan renewal, and what you will need to prove turnover for the second loan. And protect your credit report the way you protect your shop keys: no missed EMIs anywhere, credit-card utilisation low, and one free report from each of the four bureaus every

year — CIBIL, Experian, Equifax and CRIF High Mark — checked for errors before the bank checks it for you.

CHAPTER 17

When things go wrong: grievances, delays and defaults

Not every application sanctions, not every sanction disburses on time, and not every business pays every EMI. What separates a recoverable situation from a ruined credit record is knowing the machinery — every scheme has an escalation path, and every bank responds better to a borrower who uses it correctly.

Your escalation ladder

- 1 Start with the branch that handled your file, in writing. A polite, dated letter or email asking for the specific pending action creates the record every later step needs.
- 2 For PMEGP, the e-portal's grievance cell must act on complaints within 48 hours, routing them to the concerned nodal officer. If you are not satisfied with the implementing agency's answer, the appellate route runs to the GM of the district industries centre or the state director of KVIC, with the CEOs of KVIC and KVIB and the state Principal Secretary (Industry) above them.
- 3 For MUDRA and general bank grievances, escalate within the bank first; if the bank does not resolve it in 30 days, file a complaint on the RBI's centralised portal (cms.rbi.org.in) — the integrated ombudsman scheme is free and banks are answerable to it.
- 4 For scheme portals (SVANidhi, Vishwakarma, PMFME), each portal carries its own grievance link and a helpdesk number; use them — these cells are small, and a ticket number is leverage.

If disbursement is delayed after sanction

- Re-read the sanction letter: the disbursement schedule, conditions precedent (machinery quotations, licences, margin-money deposit) and the first-disbursement date are all in it. Delays are usually a pending condition, not a change of heart.
- Complete whatever is pending with dated proof, then ask the branch for the disbursement status in writing.
- For PMEGP, the portal tracks the stages your file is at; keep screenshots. If the margin money is delayed after verification, the grievance cell is the route.

If you cannot pay an EMI

A missed EMI is a problem; a hidden missed EMI is a catastrophe. The classification that wrecks your borrowing future — NPA — arrives after 90 days of missed payments, and lenders can restructure or recast a genuine hardship case before that line is crossed, not after. Banks operate restructuring frameworks for stressed MSME accounts: the conversation to have is 'my sales dropped 40% for two months, here is the plan' — walked into the branch before the due date, with books.

- Collateral-free does not mean consequence-free. The guarantee pays the bank; your obligation to repay survives it, and lenders can pursue recovery through legal process. Treat the guarantee as what unlocked the loan, not as an exit.

- Never stop paying mid-cycle without informing the bank — the silent default is the one that becomes a recovery file.
- After restructuring or a hard season, rebuild with the smallest possible credit line repaid perfectly, exactly like the first Shishu loan in Chapter 5.

Keep the paper for ten years

Sanction letters, disbursement records, invoices for every asset, verification reports, subsidy adjustment notes, no-dues certificates — one folder, digital and physical. The second loan, the subsidy adjustment after year three, and any future dispute all resolve on paper you either kept or cannot find.

CHAPTER 18

Scam protection: when 'help' costs money

The Ministry of MSME has issued a public warning that needs to be printed on every aspiring entrepreneur's wall: some people approach applicants offering PMEGP loans, hand over fake sanction letters, and charge money for a process that is entirely free. KVIC and the implementing agencies have engaged no private party, agent, middleman or franchise — none — for PMEGP or its subsidy. Anyone claiming otherwise is, in the ministry's own words, cheating you.

The same logic runs through every scheme in this book. So here are the red flags and the defences:

- 'Processing fee', 'agent commission', 'subsidy release charge' — none of these exist. PMEGP's entire application-to-disbursement flow is online and free; Udyam is free; DPIIT recognition is free; SISFS is free to apply.
- A 'loan sanction letter' you paid for — banks issue sanction letters only through their official systems, and you can verify any sanction by walking into the branch named on it.
- Copycat websites — every real portal ends in gov.in: udyamregistration.gov.in, kviconline.gov.in, pmvishwakarma.gov.in, pmsvanidhi.mohua.gov.in, pmfme.mofpi.gov.in, startupindia.gov.in. Paid 'registration assistance' sites rank well on search engines precisely because they advertise.
- 'Guaranteed approval' — no honest consultant can guarantee a bank sanction. The application score, the bank's appraisal and your credit record decide.
- Pressure and urgency — 'last date this week, pay now' is the oldest tool in the kit. Real deadlines are published on the portal and can be checked for free.

If you have been cheated, act on three fronts: file a complaint on the national cyber crime portal (cybercrime.gov.in) or at the local police station; report the number to the bank and scheme nodal agency; and for PMEGP delays or malpractice, the e-portal's grievance cell is required to act on complaints within 48 hours, with the GM of the district industries centre as the appellate authority.

CHAPTER 19

Your 90-day roadmap

Reading about schemes changes nothing. Here is the sequence that turns this book into a sanction letter, paced over ninety days for someone starting from zero.

The document kit to assemble by day 30 — the same kit whichever scheme you chose:

- Aadhaar and PAN (promoter and, if applicable, the firm).
- Udyam certificate (or Udyam Assist) — Chapter 3.
- Caste, minority or disability certificate if claiming special-category subsidy; ex-servicemen discharge book where applicable.
- Bank statements: six months, personal, and business if it exists.
- Proof of business premises: rent agreement or ownership papers, utility bill.
- Machinery quotations — two suppliers, on letterhead.
- The project report (Chapter 14), printed and bound or PDF.
- Photographs, and income-tax returns for the last two years if you have filed.

Days	Do this
1-7	Pick your scheme (Chapter 2). Pull your CIBIL report free and fix anything on it. Register on Udyam (Chapter 3).
8-21	Learn the trade's economics: visit two running units, get machinery quotations, count the customers within reach. Draft the project report (Chapter 14) — or take RSETI training first if the trade is new to you.
22-30	Assemble the full document kit. Arrange the 5-10% own contribution and be able to show its source. Finalise the DPR's numbers.
31-40	Apply on the official portal (never an agent). For PMEGP, follow up with the nodal officer after five working days — they are required to have interacted with you by then.
41-60	The agency forwards to the bank; the bank calls you for appraisal. Answer everything in days. Complete EDP training (15 days online, free for PMEGP-sanctioned applicants).
61-75	Sanction negotiation: rate, tenure, moratorium, disbursement schedule. Read the sanction letter against the scheme rules — collateral within Rs. 20 lakh is not permissible for MSEs since April 2026.
76-90	Disbursement, first purchases, first sales. Open a separate bank account for the business; route every rupee through it. From month one, treat the EMI as the first expense of the business, not the last.

What the first ninety days after sanction should look like: keep the money in the business account it was disbursed to; buy only what the project report listed, keeping every invoice; photograph every asset as it is installed — the physical verification team will want to see it working; start the EMI on the first due date, and never from a personal wallet if the business account can pay it. The scheme's subsidy adjustment and your second loan both hang on the first year looking exactly like the report you submitted.

The 20-question self-test before you submit

Answer yes or no, honestly. Every 'no' is a rejection reason from Chapter 13 waiting to happen — fix it first, submit second.

- 1 Have I registered on Udyam (or Udyam Assist)?
- 2 Have I pulled my credit report from at least one bureau in the last month?
- 3 Am I free of any overdue loan or card payment anywhere?
- 4 Have neither I nor my spouse availed a government subsidy for a business before (for PMEGP)?
- 5 Is my project within the scheme's cost ceiling — Rs. 50 lakh manufacturing / Rs. 20 lakh service for PMEGP, or the right MUDRA slab?
- 6 Do I meet the education rule — Class 8 pass, if the project is above Rs. 10 lakh manufacturing or Rs. 5 lakh service?
- 7 Have I visited at least two running units of my kind of business?
- 8 Do I have two written machinery quotations on letterhead?
- 9 Can I show where my 5-10% own contribution sits today?
- 10 Is my project report written — with monthly year-one projections and the EMI in the costs?
- 11 Is my DSCR above 1.5 at conservative sales?
- 12 Is the activity on the scheme's negative list checked?
- 13 Is my bank (and branch) within whose service area my unit sits?
- 14 Have I kept every document the scheme asks for in one folder — physical and PDF?
- 15 Do I know the scheme's portal and can I fill the form myself?
- 16 If a special-category subsidy applies (woman, SC/ST/OBC, minority, NER, aspirational district), do I have the certificate?
- 17 For PMEGP, am I ready to complete the 15-day EDP training after sanction?
- 18 For a food unit, is my FSSAI registration (or the application) in motion?
- 19 Can I explain, in two minutes and without notes, how the business earns more than the EMI every month?
- 20 Would I lend my own money to this plan? If not, why should a bank?

If the application is rejected despite all this, you have not lost: the portal tells you the reason, the reasons map to Chapter 13, and PMEGP lets you correct and resubmit — the bank data shows thousands of rejections each year are simply revised applications resubmitted. Meanwhile a cleanly-repaid Shishu loan builds the credit history that makes the second attempt succeed.

CHAPTER 20

Glossary: the twenty-four terms bankers use

Bankers, portals and guidelines use a compact vocabulary. Here is every term you will meet in this book, in one place.

- **Margin money:** the subsidy portion under PMEGP — routed through the bank, adjusted after verification, never paid as cash.
- **Own contribution / margin:** your share of the project cost — 5-10% under PMEGP, 10% under PMFME, up to 15% under Stand-Up India.
- **Composite loan:** term loan and working capital sanctioned together in one loan (RBI allows this up to Rs. 1 crore for MSEs).
- **Term loan:** a loan for a fixed period for buying assets, repaid in EMIs.
- **Working capital:** money that funds the day-to-day cycle — stock, wages — before customers pay you.
- **Collateral:** security you pledge — property, gold — that the bank can take if you default. Mandated away up to Rs. 20 lakh for MSEs since April 2026.
- **DSCR (debt service coverage ratio):** cash left after expenses, divided by the loan obligation. 1.5 is comfortable; below 1.2 is trouble.
- **EMI:** the fixed monthly instalment of principal plus interest.
- **Moratorium:** a sanctioned payment holiday — interest still accrues unless the scheme says otherwise.
- **NPA (non-performing asset):** a loan where repayments are 90 or more days overdue; the classification that destroys future borrowing.
- **CIBIL score:** your credit history summarised on a 300-900 scale; most lenders want to see 700 or above for clean terms.
- **NIC code:** the numbered code for your business activity on Udyam and PMEGP forms.
- **ODOP (one district one product):** each district's notified priority product under PMFME.
- **DPIIT recognition:** the certificate classifying your company as a startup.
- **Tranche:** one slice of a loan released in sequence (SVANidhi's three loans; Vishwakarma's two).
- **Subvention:** the government paying part of your interest (8 points of Vishwakarma's 5% rate; 7 points on SVANidhi).
- **EDP training:** the mandatory entrepreneurship course before a PMEGP loan release.
- **RSETI:** the government's free residential entrepreneurship training institutes.
- **CGTMSE / CGFMU:** the guarantee trusts standing behind collateral-free loans to MSEs (the second specifically behind MUDRA loans up to Rs. 20 lakh).

- TReDS: the electronic platform where your invoices to large buyers are sold for immediate cash.
- CPSE: central public-sector enterprise — the big government buyers now mandated to settle through TReDS.
- PSL (priority sector lending): RBI rules that push banks to lend to agriculture, MSMEs and similar sectors — why your Udyam certificate matters.
- Greenfield: a first-time venture of the beneficiary — Stand-Up India's core eligibility test.
- Udyam Assist: the certificate for informal micro enterprises, treated like Udyam for lending.

CHAPTER 21

Frequently asked questions

The questions we get most, answered in one place.

- 1 Is any of this free money? No — with two exceptions. The PMEGP margin money and the PMFME subsidy are true subsidies (15-35% of project cost, adjusted into your loan after verification), and the SISFS Rs. 20 lakh grant for startups is not repaid. Everything else is a loan with interest, even when subsidised (Vishwakarma's 5%) or interest-supported (SVANidhi's 7% subvention).
- 2 Can I apply to more than one scheme? You cannot combine subsidies on the same project (PMEGP explicitly bars units that have taken any government subsidy), but you can hold a MUDRA working-capital loan alongside a PMEGP term loan at different stages, and startups move from SISFS to venture funds as they grow.
- 3 My CIBIL score is low. Am I finished? No. Clear the report first (free reports from all four bureaus once a year), start with a small Shishu loan or SVANidhi tranche, repay it perfectly, and apply bigger six months later.
- 4 Do I need to register a company first? For MUDRA and Vishwakarma, no — a proprietor with Aadhaar and PAN can apply. For Stand-Up India's bigger loans and the startup route, a company or LLP is effectively necessary.
- 5 How long does sanction take? A Shishu loan can clear in a week; PMEGP's own guidelines require agencies to forward complete applications within three weeks and banks to decide within about 30 days after that; SVANidhi tranches are typically days. Everything slows down by exactly as much as your paperwork is incomplete.
- 6 What if a bank rejects me even after all this? Ask for the reason in writing, fix it, and resubmit — possibly to a different bank; the PMEGP portal lets you choose banks in order of preference. The grievance cell must respond within 48 hours.
- 7 Are these schemes for cities only? The opposite — most give better terms to rural and special-category areas (PMEGP's rural subsidy is 10 points higher; the North-East and hill states get the highest rates).
- 8 Does the government charge anything for the application? No. Zero. Any 'fee' you are quoted for applying is the scam described in Chapter 18.

CHAPTER 22

Appendix: every official portal in one place

Bookmark these, and only these. Every portal below is a government (gov.in) address — no agent, no fee, no middleman. If a link in an SMS or WhatsApp forward is not on this list, do not enter your details on it.

Portal	Address	What you do there
Udyam registration	udyamregistration.gov.in	Register your enterprise
PMEGP e-portal	kviconline.gov.in/pmegpeportal	Apply for the PMEGP subsidy
Udyami Mitra	udyamimitra.in	Apply for MUDRA loans online
PM Vishwakarma	pmvishwakarma.gov.in	Artisan enrolment and loans
Stand-Up Mitra	standupmitra.in	Stand-Up India applications and handholding
PM SVANidhi	pmsvanidhi.mohua.gov.in	Street-vendor loan applications
PMFME	pmfme.mofpi.gov.in	Food-enterprise subsidy applications
CGTMSE	cgtmse.in	Guarantee scheme details and lender lists
Startup India	startupindia.gov.in	DPIIT recognition
Seed Fund (SISFS)	seedfund.startupindia.gov.in	Startup seed applications
Champions (MSME)	champions.gov.in	MSME grievances and scheme help
RBI complaints	cms.rbi.org.in	Escalate unresolved bank grievances
GST	gst.gov.in	Registration and returns
Cybercrime reporting	cybercrime.gov.in	Report fee-fraud and fake agents

One habit to close with: government schemes in India reward the person who reads the official page slowly, more than the person who reads ten blog posts quickly. You now have the official numbers, the application paths and the traps in one place. Sixty minutes of careful preparation on these portals is worth more than any amount of form-filling done in a hurry. Good luck — and check your state government's industry department for one more thing: many states run top-up subsidies that stack on the central schemes in this book.

CHAPTER 23

Sources and verification

Every rule, number and date in this handbook was checked against official sources in September 2026. If a scheme's guidelines change after publication, the portal listed below is the authority.

Fact or scheme	Official source
PMEGP rules, subsidy rates, eligibility	msme.gov.in ; pmegp.msme.gov.in ; kviconline.gov.in (PMEGP e-portal)
PMEGP scam warning and free-process advisory	PIB press release, Ministry of MSME, 6 November 2020

Fact or scheme	Official source
PMEGP bank rejection statistics	KVIC PMEGP e-portal dashboards (bankwise rejection reports, 2022-25)
MUDRA categories, Tarun Plus, CGFMU cover	PMMY guidelines, DFS; Union Budget 2024-25 announcement; bank rate sheets 2026
RBI collateral-free limit Rs. 20 lakh, composite loans	Lending to MSME (Amendment) Directions, 2026, RBI, 9 February 2026, effective 1 April 2026
MSME classification thresholds	Gazette notification S.O. 1364(E), 21 March 2025; RBI Master Direction on MSME lending
Udyam and Udyam Assist	udyamregistration.gov.in; RBI Master Direction (Udyam Assist treated at par for priority-sector lending)
PM Vishwakarma benefits and statistics	PIB releases (20 September 2023; 30 July 2026); scheme guidelines at pmvishwakarma.gov.in
Stand-Up India rules	Department of Financial Services (financialservices.gov.in); SIDBI scheme brochure
PM SVANidhi restructured tranches	PM SVANidhi scheme guidelines, 16 September 2025, MoHUA; pmsvanidhi.mohua.gov.in
PMFME subsidy and statistics	PMFME guidelines and FAQ (September 2025), MoFPI; PIB release 4 December 2025; pmfme.mofpi.gov.in
CGTMSE coverage, fees, ceilings	CGTMSE CGS-I scheme document (updated January 2025) and circulars; cgtmse.in
Startup India Seed Fund	SISFS guidelines, DPIIT; Lok Sabha unstarred question answers, July 2026; seedfund.startupindia.gov.in
Budget 2026-27 MSME measures	Union Budget 2026-27 speech, 1 February 2026; PIB release 1 February 2026; PIB budget document

This handbook explains government schemes for information and does not guarantee loan sanction. Scheme guidelines can change; the official portals listed above carry the current version. Nothing here is legal or financial advice.